

developed international markets, we would not seek a substantially higher premium to do so.

Developing international markets such as Indonesia, Argentina, and Nigeria are a different story. In these markets, investors must take substantial additional risks into account when assessing the intrinsic value of a security, and as a result must demand much higher prospective returns, or a much larger margin of safety, than they require in developed markets. Periods of economic or political uncertainty are more common in these less mature and more illiquid markets, which can be rich hunting grounds for investors amid such turmoil. Economic crisis leading to investment bargains is not a preserve of developing markets alone: in the summer of 2012, Greece threatened to default on its debt, and in turn the other Europeans threatened to kick it out of the euro, resulting in chaotic selling and very attractive investment opportunities for value investors. Similarly, the March 2011 Fukushima earthquake and the ensuing nuclear disaster resulted in a significant sell-off of the Tokyo market and near bankruptcy of Japan's largest utility.

DEVELOPING A LOCAL NETWORK

Each international market has its own unique set of rules and regulations, challenges and opportunities, and scoundrels and heroes. Jumping into a new market without adequate preparation is akin to sitting down at an unfamiliar poker table without first learning who the sharks and patsies are. Our first step in looking at a new market is to develop a network of relationships in the country. This network is much broader than just investment analysts and stockbrokers. It includes local journalists, former government officials, retired corporate executives, former diplomats, and economists from institutions such as the local central bank or the IMF. We meet with the customers, competitors, and regulators of the companies we are analyzing.